China: The contractionary fiscal policy stance in H1

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The Ministry of Finance released June's fiscal data last week. Given the volatility in monthly figures, we use H1 data to gauge a broader trend. According to our estimates, augmented fiscal revenue growth, which includes off-budget revenues such as income from land sales, improved to 1.0% y-o-y in H1 from -2.9% in 2025, driven mainly by faster tax revenue growth thanks to both reflation and more stringent tax collection enforcement. However, augmented fiscal expenditure turned negative, falling to -2.9% y-o-y in H1 from 3.7% in 2025, dragged partially by a slow pace of government bond issuance. On a quarterly basis, there was a more pronounced improvement in fiscal revenue in Q2 alongside a sharper deterioration in fiscal spending compared with Q1.

We expect less contractionary/more expansionary fiscal policy in H2

Faster fiscal revenue growth alongside slower expenditure growth reduces the fiscal impulse and can have a contractionary impact; it also helps to explain *the apparent GDP growth slowdown in Q2* . We expect Beijing to step up fiscal spending in H2 by speeding up government bond issuance and the deployment of the RMB800bn new policy financing tool. Assuming the full-year net government bond quota is fully utilized, we expect RMB6.80trn of net government bond financing (excluding debt swaps) to be conducted in H2, which would represent 57% of full-year quota and surpass the RMB5.75trn recorded in H2 2025.

July Politburo meeting: A large fiscal stimulus is unlikely

We expect Beijing to maintain an accommodative policy stance during this week's Politburo meeting, consistent with the *symposium* convened by Premier Li Qiang on 13 July. However, the scale of incremental fiscal policy measures might be limited for three reasons. First, surging export growth, despite being mainly driven by a rapid rise in the prices of AI-related goods, might alleviate some of Beijing's concerns about overall growth. Second, Given the fiscal budget *set at the NPC meeting* in March, fiscal spending is likely to pick up in H2. Third, Beijing recognizes that short-term policies like trade-in programs lead to payback effects and cannot be used too frequently. Fourth, policymakers are concerned about the potential downsides from fiscal stimulus and a rebound of local government debt.

Fiscal revenue growth improved in H1

According to our estimates, augmented fiscal revenue growth improved to 1.0% y-o-y in H1 from -2.9% in 2025, driven by on-budget fiscal revenue, while growth in revenue from government-managed funds contracted more sharply. On-budget fiscal revenue rose to 4.7% y-o-y in H1 from -1.7% in 2025, above the 2.2% full-year target set at the *March NPC meeting* (Figure 1). Tax revenue growth rose to 5.3% y-o-y in H1 2026 from 0.8% in 2025, primarily driven by growth of value-added tax (VAT) and corporate income tax (CIT) collections, which rose to 6.0% y-o-y and 3.9%, respectively, in H1 2026 from 3.4% and 1.0% in 2025 (Figure 2). Non-tax revenue growth also rebounded to 2.3% y-o-y in H1 from -11.3% in 2025, thanks to a low base effect and higher revenue from paid use of state-owned resources, including mining rights.

Other major types of tax revenues exhibited notable divergences in H1. Stamp duty tax growth from stock trading jumped to 97.3% y-o-y in H1 2026 from 57.8% in 2025, buoyed by *surging stock trading volumes* amid the AI supercycle. Individual tax revenue growth edged higher to 13.1% y-o-y in H1 from 11.5% in 2025, *supported by* enhanced tax enforcement on overseas earnings and online streaming income, as well as rising capital gains tax collections amid the stock market rally. In contrast, consumption tax revenue growth turned negative, falling to -3.4% y-o-y in H1 from 2.0% in 2025, weighed on by *softer retail sales growth* due to the payback effect from the trade-in program and weak consumer sentiment amid the perennial property sector downturn.

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Property-related revenue growth deteriorated further in H1

Growth in property-related tax revenue worsened to -5.8% y-o-y in H1 from -4.4% in 2025, as the property downturn persists (Figure 3). While second-hand property transactions showed some improvement in a few large cities, it was unable to fully offset the weakness in other cities. Land sales revenue plunged to -31.5% y-o-y in H1 from -14.7% in 2025. The deterioration in land sales revenue dragged growth in government-managed fund revenue to -21.6% y-o-y in H1 2026 from -7.0% y-o-y in 2025, falling short of the March NPC meeting's full-year revenue target of 0.6% growth for government-managed funds. The continued deterioration in property-related revenue is likely to exacerbate the fiscal strain on local governments.

The recent improvement in VAT and CIT growth may be unsustainable

We believe the improvement in VAT and CIT growth in H1 was primarily driven by external forces rather than underlying domestic strength. Surging global oil prices have temporarily boosted revenue and profits among the upstream enterprises, many of which are large state-owned entities with higher tax compliance rates. However, as China remains a major net oil importer, the worsening terms of trade could ultimately squeeze most domestic producers and consumers, potentially eroding the tax base over the longer term.

Fiscal expenditure growth turned negative in H1

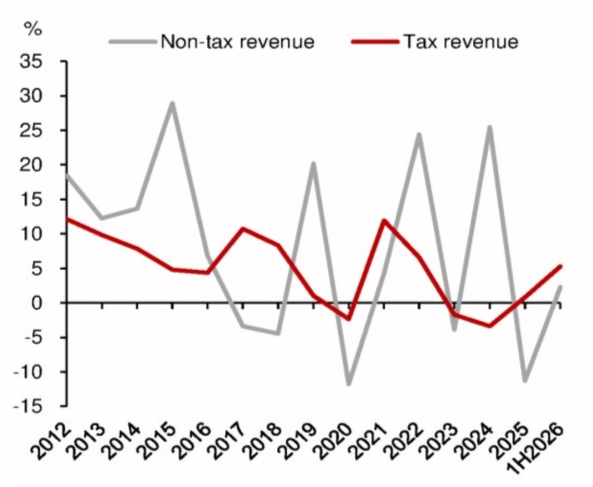
According to our estimate, augmented fiscal expenditure turned negative, falling to -2.9% y-o-y in H1 2026 from 3.7% in 2025. On-budget fiscal expenditure rose only by 1.5% y-o-y in H1, slightly higher than the 1.0% growth in 2025, marking the slowest pace of H1 fiscal spending growth since 2020, and well below the full-year fiscal spending target of 4.4% set at the NPC meeting. The slowdown in off-budget was even sharper, with growth in government-managed fund expenditure plunging to -16.4% y-o-y in H1 from 11.3% in 2025. The contraction deepened in Q2, reaching -31.0% y-o-y from 3.1% in Q1, weighed on by local government fiscal strain amid the sharp decline in land sales revenue.

By major category of on-budget fiscal expenditure, growth in aggregate infrastructure spending remained negative at -4.8% y-o-y in H1, little improved from -7.8% in 2025. On a quarterly basis, the slowdown in infrastructure spending worsened in Q2, falling by 7.9% y-o-y after a 1.8% decline in Q1. Healthcare spending growth was the strongest growth among major expenditure categories, rising to 10.8% y-o-y in H1 from 5.7% in 2025, supported by front-loaded disbursements of childbirth subsidies. Other public welfare spending trends were mixed, with education expenditure growth dropping to 0.6% y-o-y in H1 from 3.2% in 2025, while social security and employment spending growth edged higher to 7.6% y-o-y from 6.7% in 2025.

Fiscal spending is likely to pick up in H2

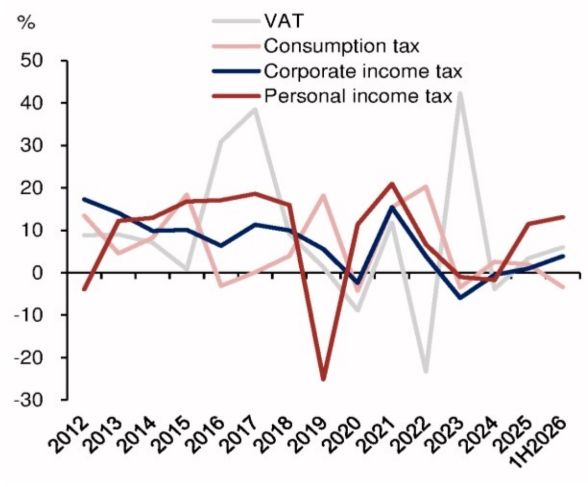
By our estimates, total government bond net issuance reached RMB6.64trn in H1, accounting for 48% of the RMB13.89trn annual government bond quota set at the March NPC meeting (Figure 5) and below the RMB7.25trn recorded in H1 2025. Excluding special refinancing bonds used for debt swaps, which do not contribute to incremental fiscal spending, net government bond issuance amounted to RMB5.09trn in H1, which represented just 43% of the full-year quota and trails the RMB6.09trn issued in H1 2025. Assuming the full-year bond quota is fully utilized, we expect net government bond issuance excluding debt swaps to rise to RMB6.80trn in H2, surpassing the RMB5.75trn recorded in H2 2025. Given the expected rise in government bond issuance and the implementation of new policy financing tools, we expect fiscal spending growth to pick up in the second half of the year.

Fig. 1: Annual growth of tax and non-tax revenues



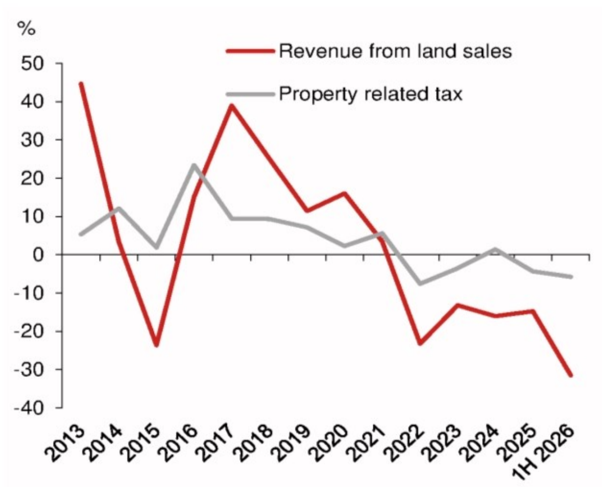
Note: Tax revenue in 2022-23 is adjusted by excluding distortions due to a large-scale VAT credit refunds.
Source: Wind, Nomura Global Economics.

Fig. 2: Growth in major categories of tax revenue



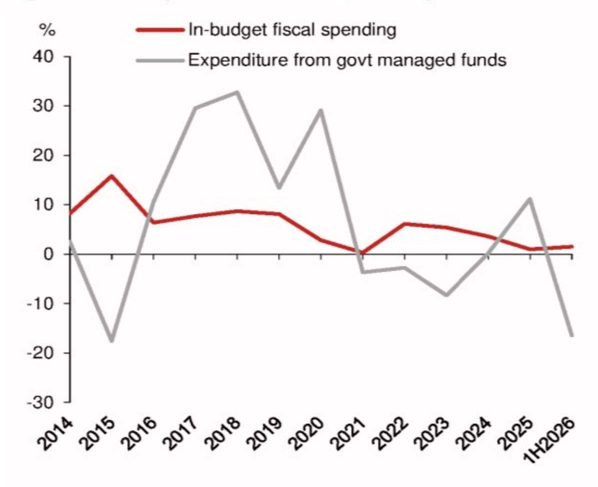
Source: Wind, Nomura Global Economics.

Fig. 3: Property-related revenue growth



Source: Wind, Nomura Global Economics.

Fig. 4: Annual growth of fiscal spending



Source: Wind, Nomura Global Economics.

Fig. 5: A review of government bond financing in H1

Governmnet bond net issuance	2026 quota	H1 2026	Share
	RMBbn		
Central government general bond (CGGB)	5,090	2,120	42%
Central government special bond (CGSB)	1,300	572	44%
CGSB for state-bank capital injection	300	0	0%
Central government bond (CGB)	6,690	2,692	40%
Local government general bond (LGGB)	800	330	41%
Local government special bond (LGSB)	4,400	2,070	47%
Special refinancing bond for debt swap	2,000	1,548	77%
Local government bond (LGB)	7,200	3,948	55%
Total	13,890	6,640	48%
Total (excluding LGSB for debt swap)	11,890	5,092	43%

Source: Wind, Nomura Global Economics.

Fig. 6: Major fiscal indicators

Major fiscal indicators	unit	Jun 26	May 26	Q2 26	Q1 26	H1 26	2025	2024
On-budget revenue growth	% y-o-y	**8.7**	**6.6**	**7.3**	**2.4**	**4.7**	**-1.7**	**1.3**
Tax revenue	% y-o-y	10.8	6.8	8.6	2.2	5.3	0.8	-3.4
Value-added tax (VAT)	% y-o-y	4.9	7.9	7.4	4.9	6.0	3.4	-3.8
Corporate income tax	% y-o-y	29.7	3.3	11.3	-5.6	3.9	1.0	-0.5
Property-related tax	% y-o-y	-12.3	-2.6	-5.3	-6.3	-5.8	-4.4	0.0
Consumption tax	% y-o-y	-5.3	-2.0	-2.0	-4.4	-3.4	2.0	2.6
Individual income tax	% y-o-y	17.0	12.4	16.4	10.5	13.1	11.5	-1.7
Stamp duty tax on stock trading	% y-o-y	145.3	145.9	118.2	78.3	97.3	57.8	-29.1
Non-tax revenue	% y-o-y	2.9	5.6	1.6	2.9	2.3	-11.3	25.4
Revenue growth from government-managed funds	% y-o-y	**-31.1**	**-20.5**	**-26.5**	**-16.2**	**-21.6**	**-7.0**	**-12.2**
Revenue from land sales	% y-o-y	-42.2	-35.8	-38.0	-24.4	-31.5	-14.7	-16.0
On-budget expenditure growth	% y-o-y	**4.0**	**-1.6**	**0.2**	**2.6**	**1.5**	**1.0**	**3.6**
Infrastructure	% y-o-y	-0.5	-11.3	-7.9	-1.8	-4.8	-7.8	7.3
Healthcare	% y-o-y	8.8	10.7	9.3	12.1	10.8	5.7	-9.1
Education	% y-o-y	5.4	-0.5	1.6	-0.3	0.6	3.2	2.0
Social security and employment	% y-o-y	13.2	1.3	5.9	9.0	7.6	6.7	5.6
Science & technology	% y-o-y	2.6	13.0	4.9	-3.7	1.3	4.8	5.7
Environmental protection	% y-o-y	-15.7	-19.1	-19.8	-1.1	-10.3	6.1	-1.4
Expenditure growth from government-managed funds	% y-o-y	**-44.0**	**-11.2**	**-31.0**	**3.1**	**-16.4**	**11.3**	**0.2**
Fiscal balance	RMB bn	**-887**	**-201**	**-919**	**-1,309**	**-2,228**	**-2,333**	**-1,887**
Fiscal balance (12m rolling sum)	RMB bn	**-6,793**	**-6,843**	**-6,793**	**-7,182**	**-6,793**	**-7,135**	**-6,491**

Note: *refers to fiscal revenue excluding VAT credit refund.
Source: Wind, Nomura Global Economics.

Appendix A-1

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